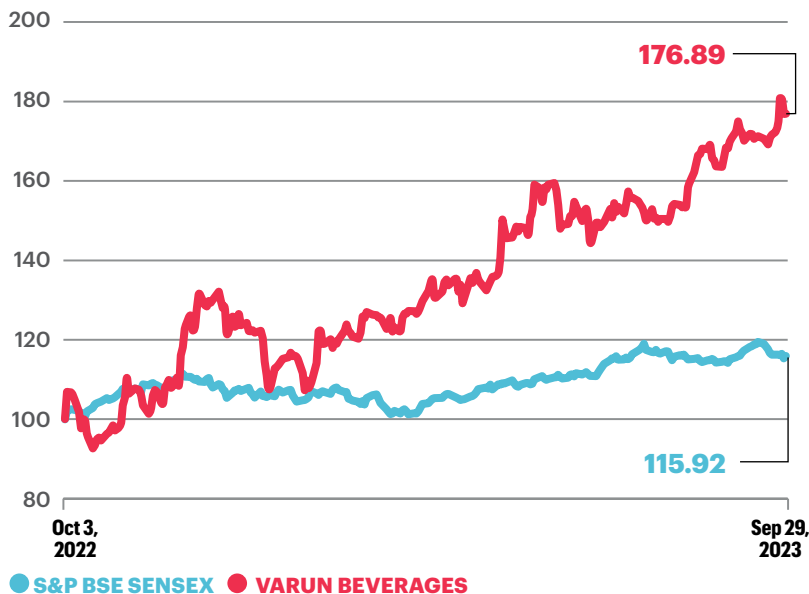


BEATING THE SENSEX

➤ The Varun Beverages stock has seen a 77 per cent jump in price between October 3, 2022, and September 29, 2023

➤ In comparison, the Sensex rose 16 per cent in that period



DATA HAS BEEN INDEXED TO 100 SOURCE BSE

92 PER CENT

The PepsiCo India market serviced by VBL after a re-franchising exercise in 2019, up from around 50 per cent earlier

expansion, which will continue to boost its sales. This will help it grow its peak 2022 production capacity by over 45 per cent. “The beverage category is outperforming other FMCG categories on under-penetration and improved road and electricity infra. VBL has identified these tailwinds and has invested close to ₹3,000 crore in capacity expansion,” says Devanshu Bansal, Research Analyst at Emkay Global Financial Services. It is benefitting from new products in the energy, sports and dairy categories at affordable price points, which should together drive its Ebitda (earnings before interest, tax, depreciation and amortisation), says Bansal. He expects CAGR of 25-30 per cent in earnings per share over the 2022-25 period. Emkay estimates that by 2025, VBL’s revenue will nearly



“Ravi Jaipuria’s close and trusted relationship with PepsiCo over the decades is a key factor behind VBL’s rise”

K.S. NARAYANAN
FMCG INDUSTRY VETERAN
AND FORMER MD OF
MCCAIN FOODS INDIA

double to ₹23,570 crore, while its PAT could reach ₹3,350 crore.

Jaipuria is confident that this is only the beginning of a new chapter of growth for the company. After bagging the new markets, VBL is today the largest bottler in the country—ahead of arch rival Coca-Cola’s in-house bottling arm Hindustan Coca-Cola Beverages (FY23 revenue of ₹12,840 crore). While HCCB bottles and sells in nearly 50 per cent of Coke’s India market, the rest of the market is fragmented among 13 smaller bottlers. “This also means that we can decide and grow much faster than our competition as they would have to first convince multiple parties to take a step ahead,” says Jaipuria. So, for the foreseeable future, VBL may be hard to catch. **BT**

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